



Home Loan

Home Loan (Mortgage Loan) is a secured retail financing facility provided by licensed financial institutions to individuals (UAE Nationals, residents, resident expatriates, or non-residents) specifically for purchasing, constructing, or refinancing residential property.

The property itself serves as the underlying collateral, and the loan is heavily regulated by the Central Bank of the UAE (CBUAE) to ensure market stability and prevent predatory lending.

The Two Structural Forms

UAE banks offer two legal and financial pathways to a mortgage:

- **Conventional Mortgages:** A standard loan where the bank charges interest
- **Islamic Mortgage (Sharia-Compliant):** Structured as a Murabaha (cost-plus profit) or Ijara (lease-to-own). Instead of charging interest, the bank buys the property and sells or leases it back to the customer at a profit margin.

Home Loan Consultancy Process:

- **Review of Profile & Documents :** We thoroughly review client’s personal and employment profile along with all required documents in order to evaluate all liabilities for further procedures.
- **DBR & Central Bank Compliance Check:** We calculate your exact Debt Burden Ratio (which cannot exceed 50% of your gross income per UAE Central Bank rules) to ensure your application passes automated bank filtering.
- **Review of Critical Banking Requirements:** To qualify for a home loan in the UAE, banks strictly evaluate:
 1. Minimum Salary: Usually starts at AED 10,000 to AED 15,000 per month for salaried residents.
 2. AECB Credit Score: The Al Etihad Credit Bureau score is heavily scrutinise; a history of bounced cheques or missed card payments will stall an application.
 3. Mandatory Life Insurance: UAE banks legally require you to take out a mortgage protection life insurance policy assigned to the bank to cover the outstanding debt in the event of death.
- **Loan Tenure & Age Caps:** The maximum allowable lifespan for a residential mortgage is 25 years. Furthermore, the loan must be fully repaid before the borrower reaches:
 1. Age 65 for salaried individuals.
 2. Age 70 for self-employed individuals.
- **Review of Loan-to-Value (LTV) Caps:** The CBUAE dictates exactly how much a bank can lend relative to the property's independent valuation. You cannot borrow 100% of the property value. The limits scale based on nationality, property price, and whether it’s your first home:
 1. **Expatriate Residents (First Property):**
 - a. Value under AED 5 Million: Maximum 75% LTV (25% down payment required).
 - b. Value over AED 5 Million: Maximum 65% LTV (35% down payment required).
 2. **UAE Nationals (First Property):**
 - a. Value under AED 5 Million: Maximum 80% LTV (20% down payment required).
 - b. Value over AED 5 Million: Maximum 70% LTV (30% down payment required).
 3. **Second/Subsequent Properties (Investors):** Capped at 60% LTV for both expats and UAE nationals.
 4. **Off-Plan Properties:** Stricter rules apply to under-construction properties, universally capped at 50% LTV.
- **Banking Pre-Approval (The "Borrower" Assessment)**

The goal is to secure a formal commitment from the lender regarding the client’s creditworthiness.

 1. **KYC & Document Compilation:** We help gather and verify the compliance package based on the profile:
 - a. Salaried Expat: Salary certificates, 6 months of bank statements, payslips, and continuous employment records.
 - b. Self-Employed/Business Owners: Audited financial statements, corporate bank statements (12 months), trade licenses, and MOA/Share Certificates.
 2. **Application Submission & Liaison:** We help package the underwriting file and submit it to the selected bank(s). We Manage all query-handling and clarify income discrepancies with the bank’s assigned credit team.
 3. **Pre-Approval Letter Issuance:** We help client in obtaining the formal Pre-Approval Letter. Ensuring the client understands its parameters (typically valid for 60 to 90 days), allowing them to confidently place an offer on a property.
- **Property Selection & Underwriting (The "Asset" Assessment)**
 1. **Transaction Advisory (Form F / MoU):** Once the client identifies a property, we review the Memorandum of Understanding (Form F) before they sign it
 2. **Bank Valuation Coordination:**We coordinate and Initiate and monitor the bank’s independent technical property valuation to ensure the asset's appraised value matches the agreed purchase price (preventing a "valuation shortfall" where the client would have to plug the gap with cash).
 3. **Final Offer Letter (FOL):** We help client in securing the final binding mortgage contract from the bank. We then review the fine print, specifically checking lock-in periods, early settlement fees (capped by the CBUAE at 1% or AED 10,000), and mandatory life/property insurance premiums.
- **Execution, Settlement & Handover:** The goal is the successful legal transfer of title and funds disbursement.
 1. **Pre-Closing Audits:** Coordination between the buyer, seller, real estate broker, and bank developers to align the final payout figures. Ensure all manager's cheques are cut precisely.
 2. **DLD Trust Deed & Title Transfer:** We guide the client through the final step at a Dubai Land Department (DLD) Trustee Office. Oversee the simultaneous actions of:
 - a. The bank settling the existing owner's mortgage (if applicable).
 - b. The registration of the bank's security block (the mortgage) on the property.
 - c. The issuance of the new Title Deed in client's name.
- **Post-Disbursement Review (Portfolio Management): Our relationship doesn't end at handover. This phase ensures retention.**
 1. **EIBOR Tracking & Re-Financing Reviews:** We monitor macro interest rate environments. If market rates drop significantly, we proactively advise the client on mortgage buy-outs or balance transfers to lower-cost lenders.
 2. **Equity Release Strategies:** If the property appreciates substantially over the subsequent years, we consult the client on structuring an "Equity Release" loan to unlock capital for future corporate or real estate investments.